



We Analyzed 1,000 Businesses' **MRR Data**

Here's what actually drives Monthly Recurring Revenue — and it overturns conventional startup wisdom.



0.906

Correlation between subscriber count and MRR — not growth rate, the strongest revenue predictor in the dataset.



\$9.7K vs \$14.8K

High-growth companies (>50%) average LESS revenue than negative-growth companies.



31x

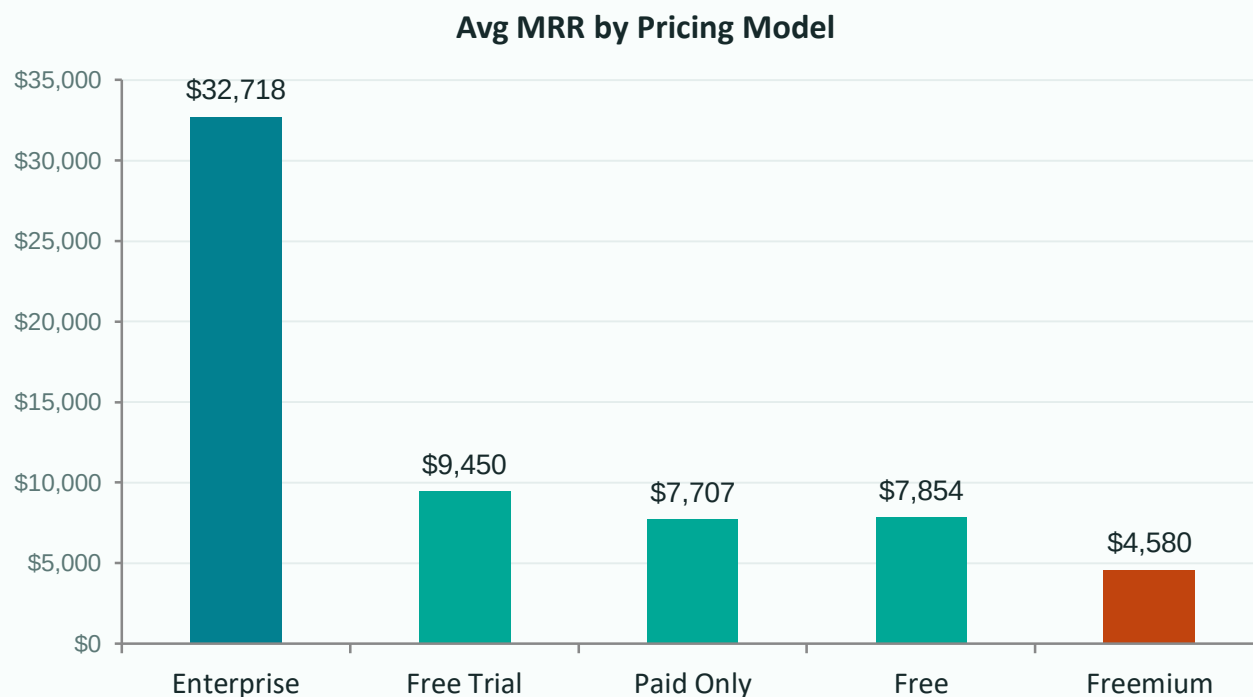
Revenue multiplier between excellent (40+) and weak (0-10) domain authority tiers.

Source: MU TrustMRR Dataset Analysis — Insights & Strategic Recommendations



Free Models Lock You Into Low Revenue

Average monthly recurring revenue by pricing model (n = 637)



THE HARD TRUTH

- Freemium earns 5x less than Paid-Only on a median basis — \$142 vs. \$686 per month.
- Free/Freemium models cap out near a \$5-8K MRR ceiling and can't scale past it.
- Enterprise pricing (\$32,718 avg) is 4.25x higher than Paid-Only, and 7x Freemium.
- 86% of free-model companies do generate some revenue — but stay stuck in a micro-revenue tier.



Launch with a Paid tier — not Freemium



Use Free only as a top-of-funnel



Test an Enterprise / Contact-Sales motion



High Growth $\neq$ High Revenue

The uncomfortable truth: growth rate is a poor predictor of profitability



HIGH GROWTH

>50% · 67 companies

AVG MRR

\$9,714

MEDIAN MRR

\$284

PAID MODEL %

38.8% paid models



FLAT GROWTH

0-10% · 482 companies

AVG MRR

\$14,567

MEDIAN MRR

\$118

PAID MODEL %

27.2% paid models



NEGATIVE GROWTH

<0% · 238 companies

AVG MRR

\$14,807

MEDIAN MRR

\$1,787

PAID MODEL %

33.2% paid models



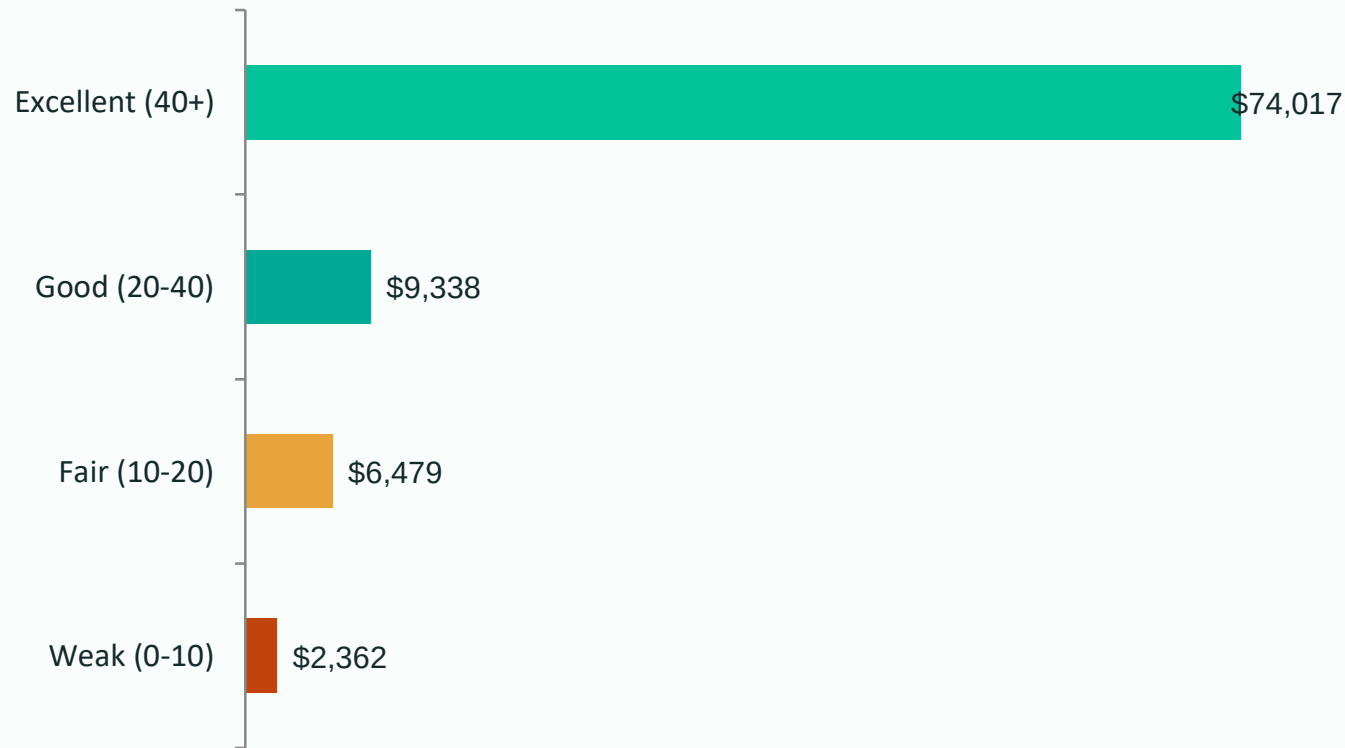
Growth rate is a terrible predictor of profitability. High-growth companies are typically scaling users, not revenue — a classic venture trap.

Action: track MRR growth as the primary KPI — not user or visitor growth.



The 31x Multiplier: How Domain Authority Compounds Revenue

Average MRR by domain rating tier (n = 557)



THE CONVERSION PARADOX

Excellent-domain sites convert **11.72%** of visitors to revenue — Weak-domain sites convert only **0.5%**. Trust carries heavier than traffic.

BUILD TIMELINE

- **Year 1:** Domain 0 → 20 — content + backlinks
- **Year 2:** Domain 20 → 35 — brand + thought leadership
- **Year 3:** Domain 35 → 45+ — industry authority



Where Real Growth Is Happening

Spoiler: it's not generic AI tools

Category	Count	Growth	Avg MRR	Momentum
Recruiting & HR	6	+267%	\$2,698	Hottest (low rev)
SaaS	66	+64.4%	\$8,920	Hottest
Games	10	+41.9%	\$5,223	Growing
Fintech	16	+21.5%	\$4,620	Underexplored
AI	197	+16.7%	\$9,167	Saturated
Content Creation	—	-0.6%	\$5,569	Flat
Sales Tools	13	-8.8%	\$5,505	Declining
Security	8	-9.5%	\$4,576	Declining



AVOID generic AI, Sales Tools, Security — saturated or disrupted



PURSUE vertical SaaS, Fintech, industry-specific AI



B2B Wins on Unit Economics — 2.6x the Revenue



B2B

Business-to-Business · 255 companies

Avg MRR

\$13,150

Median MRR

\$1,036

Growth / Revenue rate

13.5% · 89.4%



B2C

Business-to-Consumer · 401 companies

Avg MRR

\$5,102

Median MRR

\$181

Growth / Revenue rate

20.3% · 85%



Same \$10K MRR, very different businesses:

B2B → 100 customers × \$100/mo. B2C → 5,000 customers × \$2/mo, with 50x more churn risk to manage.



The Winning Recipe for \$10K+ MRR



B2B SaaS Model

\$13,150 B2B avg + 64.4% SaaS growth → high revenue, predictable scaling



Paid or Enterprise Pricing

\$32,718 Enterprise avg vs. \$4,580 Freemium → up to 6x more revenue



Vertical Category, Not Generic

SaaS leads at 64% growth; generic AI is saturated at 197 competitors



Domain Authority Investment

31x leverage: \$74K (excellent) vs. \$2.4K (weak) → passive organic revenue



Obsess Over Subscribers

0.906 correlation with revenue — the single strongest predictor



Launch in US / Western Europe

\$29K avg US revenue vs. \$2.6K in emerging markets

Mo. 1-6

Build + domain foundation

Mo. 6-12

50 subs @ \$200/mo = \$10K MRR

Mo. 12-18

Scale to 150 subs = \$30K MRR

Mo. 18-24

Reach \$50K+ MRR



What You Should Do With This Data



IF YOU'RE BUILDING

- Define your vertical, not generic AI
- Launch a Paid tier — not Freemium
- Publish 2-3 SEO pieces per week
- Track subscriber retention, not visits

You'll be in the winning category.



IF YOU'RE ANALYZING

- Red flag: Freemium + <\$1K median MRR
- Red flag: 20%+ negative growth, 3+ mo.
- Green flag: Paid model, \$500+ median
- Green flag: B2B SaaS, domain 20+

If red flags: pivot now, not next quarter.



IF YOU'RE ACQUIRING

- Target: \$5-20K median MRR, Paid model
- Target: flat/slightly positive growth
- Add sales team → +40-60% MRR uplift
- Invest in domain → 2-3x in 24 months

Expected integration ROI: 2-3x in 24 months.

Of 1,000 businesses, 738 are still growing — only 67 show high growth. The proven paths to \$10K-\$50K+ MRR exist. Most businesses simply don't follow them.